

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the period ended 31st December 2020

CONTENTS

Statement of Comprehensive Income	01
Statement of Financial Position	02
Statement of Changes in Equity	03
Statement of Cash Flows	04
Segmental Analysis	05
Explanatory Notes	06
Shareholders' Information	07
Utilization of right Issue Fund	08
Corporate Information	09

	For the Quarter Ended			For the Nine Months Ended		
	31.12.2020	31.12.2019	Change	31.12.2020	31.12.2019	Change
	LKR	LKR		LKR	LKR	
	Unaudited*	Unaudited*	%	Unaudited*	Audited*	%
Interest Income	666,092,613	757,122,004	-12.0%	2,073,870,982	2,246,732,793	-8%
Interest Expenses	(364,563,148)	(419,219,377)	-13.0%	(1,137,492,193)	(1,252,813,782)	-9%
Net Interest Income	301,529,465	337,902,627	-10.8%	936,378,789	993,919,011	-6%
Net Trading Gain/(Loss) on Equity Securities	-	(125)	0.00%	-	(125)	0%
Other Operating Income	43,892,186	102,726,634	-57.3%	93,159,521	268,468,399	-65%
Less: Operating Expenses						
Personnel Costs	(95,307,909)	(149,416,402)	-36.2%	(210,217,961)	(303,144,513)	-31%
Provision for Staff Retirement Benefits	(2,100,000)	(1,525,610)	37.6%	(6,300,000)	(6,102,440)	3%
General and Administration Expenses	(128,362,453)	(134,121,887)	-4.3%	(462,517,159)	(540,069,026)	-14%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(88,012,534)	(101,742,670)	-13.5%	(272,613,635)	(271,937,910)	0%
Operating Profit before Value Added Tax on Financial Services	31,638,755	53,822,567	-41%	77,889,555	141,133,396	-45%
Value Added Tax on Financial Services	(7,800,000)	(11,644,458)	-33%	(32,800,000)	(35,954,458)	-9%
Profit Before Taxation	23,838,755	42,178,109	-43%	45,089,554	105,178,938	-57%
Income Tax (Expenses) / Reversal	(7,500,000)	(5,682,410)	32%	(27,500,000)	(14,632,410)	88%
Profit for the Period	16,338,755	36,495,700	-55%	17,589,554	90,546,528	-81%
Actuarial Loss on Retirement Benefit Liability	-	-	-	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-
Total Comprehensive Income for the Period	16,338,755	36,495,700	-55%	17,589,554	90,546,528	-81%
Earnings Per Share - Basic	0.13	0.34	-61%	0.19	1.02	-81%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.12.2020 LKR Unaudited*	31.03.2020 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	662,542,659	511,939,133	29.4%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	1,683,174,872	860,630,696	95.6%
Loans and Advances	9,201,993,005	8,913,047,649	3.2%
Lease Rentals Receivable and Hire Purchase	2,631,091,185	3,726,488,702	-29.4%
Other Assets	63,677,254	16,983,813	274.9%
Income Tax Receivable	27,698,763	27,736,580	-0.1%
Vehicle Stock	-	-	#DIV/0!
Advances, Deposits and Prepayments	137,795,735	156,189,223	-11.8%
Financial Assets - Available for Sale	506,659	506,659	0.0%
Right-of-use assets	155,682,114	137,210,457	13.5%
Property, Plant and Equipment	136,825,552	138,032,482	-0.9%
Investment Property	396,038,269	399,678,109	-0.9%
Deferred Tax Assets	198,422,647	225,922,647	-12.2%
Intangible Assets	37,174,889	40,220,339	-7.6%
Total Assets	15,332,623,603	15,154,586,490	1.2%
LIABILITIES			
Due to Banks	150,035,389	58,777,776	155.3%
Other Liabilities	1,037,344,614	96,622,133	973.6%
Other Borrowed Funds	5,288,656,218	6,086,325,326	-13.1%
Lease liability	152,614,105	126,200,873	20.9%
Due to Customers	6,481,055,796	6,585,234,705	-1.6%
Retirement Benefit Liability	33,875,114	29,972,864	13.0%
Total Liabilities	13,143,581,235	12,983,133,677	1.2%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,791,478,691	0.0%
Retained Earnings	320,797,324	303,207,769	5.8%
Statutory Reserve Fund and Other Reserves	76,766,353	76,766,353	0.0%
Total Equity	2,189,042,368	2,171,452,813	0.8%
Total Equity and Liabilities	15,332,623,603	15,154,586,490	1.2%
Net Assets Per Share	17.63	17.50	0.7%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st December 2020 and its profit for the Period ended 31st December 2020.

.....Sgd.....

Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....Sgd.....

R.J.A. Gunawardena

Director/CEO

.....Sgd.....

Thusitha Perera

Director/Chairman of the Audit Committee

12th February 2021

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31ST DECEMBER, 2020

Page 3

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2019 (Audited)	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Total comprehensive income for the Nine Months					
Profit for the six months Ended 31st December 2019	-	-	-	90,546,528	90,546,528
Other comprehensive income (net of tax)				-	-
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,150				150,985,150
Transferred to/from reserves During the Period	-	-	4,527,326	(4,527,326)	-
	150,985,150	-	4,527,326	(4,527,326)	150,985,150
Balance as at 31st December, 2019 (Unaudited)	1,791,478,691	3,000,000	74,914,700	325,026,369	2,194,419,760
Balance as at 1st April, 2020 (Audited*)	1,791,478,691	3,000,000	73,766,353	303,207,770	2,171,452,814
Profit for the Nine months Ended 31st December 2020	-	-	-	17,589,554	17,589,554
Other comprehensive income (net of tax)		-		-	-
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	-				-
Transferred to/from reserves During the Period			-	-	-
Balance as at 31st December, 2020 (Unaudited*)	1,791,478,691	3,000,000	73,766,353	320,797,324	2,189,042,368

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.12.2020 Rs. Unaudited*	31.12.2019 Rs. Unaudited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	45,089,554	105,178,938
Adjustments for		
Depreciation and amortization	27,176,647	40,260,607
Depreciation for Lease Buildings	26,362,428	-
Lease Interest expense	13,925,860	-
Impairment of lease hire purchase, loans and advances	272,613,635	271,937,910
Early termination of loans, leases and hire purchase	(12,195,569)	(10,157,077)
Non-cash items included in profit before tax (WHT and Notional tax)	37,818	(1,142,742)
Net Interest Margin Adjustment	-	-
Interest income on commercial papers	-	-
Profit on sale of vehicle stock	-	1,205,856
Interest income on Unit Trust	(13,745,347)	-
Profit on sale of held for trading securities	-	-
Gain/loss on fair valuation of held for trading securities	-	-
Gains from sale of property, plant and equipment, investment property and real estate inv	(1,893,053)	(134,367)
Provision for retirement benefit liability	6,300,000	6,102,440
Debenture Expenses	21,960,742	-
Interest expense on other borrowings	574,949,446	655,782,691
Profit from Operation Before Working Capital Changes	960,582,162	1,069,034,256
	-	-
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	1,068,832,483	157,811,272
Increase in Loans and Advances	(522,798,387)	(792,684,283)
(Increase)/Decrease in Other Receivables	-	(173,290,816)
(Increase)/Decrease in Deposits and Prepayments	(28,299,953)	(20,361,344)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	(104,178,909)	(1,111,499,088)
Increase/(Decrease) in Other Liabilities	(63,032,964)	(201,682,643)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	1,311,104,430	(1,072,672,646)
Taxes Paid	-	(18,810,220.00)
Gratuity Paid	(2,397,750)	(1,145,000.00)
Rent paid	(32,346,714)	-
Net Cash From Operating Activities	1,276,359,966	(1,092,627,866)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(23,057,952)	(21,105,483)
Acquisition of intangible assets	(1,542,744)	(13,966,158)
Acquisition and proceeds from sale of Investment Property	(35,000)	(349,622)
Proceeds from sale of investment property	3,674,840	-
Acquisition and proceeds of Vehicle Stock / IP	-	12,325,000
Proceeds from sale of vehicle stock	-	-
Proceeds from commercial papers	-	-
Investments in commercial papers	-	-
Investments in Unit Trust	(660,000,000)	-
Proceeds from Unit Trust	-	-
Proceeds from sales of held for trading securities	-	-
Proceeds from sales of property, plant and equipment	3,569,483	469,725
Net Cash Flows From/(Used in) Investing Activities	(677,391,374)	(22,626,538)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(3,718,618,554)	(2,985,484,294)
Proceeds from Other Borrowed Funds	2,346,000,000	4,271,801,017
Dividends paid	-	-
Proceed from debenture issue	981,794,704	-
Proceeds from Right issue	-	150,985,150
Net Cash Flows From/(Used in) Financing Activities	(390,823,850)	1,437,301,873
Net Increase in Cash and Cash Equivalents	208,144,742	322,047,469
Cash and Cash Equivalents at the Beginning of the Period	1,313,792,053	1,204,248,031
Cash and Cash Equivalents at the End of the Period	1,521,936,795	1,526,295,499
At the End of the Period		
Cash and Cash Equivalents	662,542,658	764,777,541
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	1,009,429,525	843,836,731
Bank Overdraft	(150,035,389)	(82,318,774)
	1,521,936,795	1,526,295,498

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	31.12.2020	31.12.2019	31.12.2020	31.12.2019	31.12.2020	31.12.2019	31.12.2020	31.12.2019	31.12.2020	31.12.2019	31.12.2020	31.12.2019	31.12.2020	31.12.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	701,229,596	912,593,449	2,818,800	25,376	638,103,869	791,986,001	64,875,793	78,910,137	666,842,925	462,536,024	-	681,806	2,073,870,982	2,246,732,793
Other Income	(1,714,441)	8,801,159	-	1,116,100	9,874,668	88,647,578	320,000	280,000	82,509,241	133,359,173	2,170,053	36,264,389	93,159,521	268,468,399
Total Revenue	699,515,155	921,394,608	2,818,800	1,141,476	647,978,538	880,633,579	65,195,793	79,190,137	749,352,166	595,895,197	2,170,053	36,946,195	2,167,030,503	2,515,201,192
Segmental Result	25,142,665.97	51,701,451	101,316	64,051	23,290,286	49,414,261	2,343,332	4,443,530	26,933,957	33,436,972	77,998	2,073,131	77,889,555	141,133,396
Value Added Tax on Financial Services													(32,800,000)	(35,954,458)
Profits from Operations													45,089,554	105,178,938
Income Tax Charge/Reversal for the Period													(27,500,000)	(14,632,410)
Net profit for the Period													17,589,554	90,546,529
Segment Assets	2,631,091,185	3,886,412,287	-	-	4,059,121,311	4,510,126,176	1,683,174,872	843,836,731	5,142,871,694	3,528,924,841	-	-	13,516,259,062	12,769,300,036
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	1,816,364,541	1,956,645,792	1,816,364,541	1,956,645,792
Total Assets	2,631,091,185	3,886,412,287	-	-	4,059,121,311	4,510,126,176	1,683,174,872	843,836,731	5,142,871,694	3,528,924,841	1,816,364,541	1,956,645,792	15,332,623,603	14,725,945,827
Segment Liabilities	2,350,020,357	3,801,101,206	-	-	3,625,498,716	4,411,123,881	1,503,366,830	825,313,575	4,593,475,605	3,451,461,008	-	-	12,072,361,507	12,488,999,670
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	1,071,219,728	42,526,402	1,071,219,728	42,526,402
Total Liabilities	2,350,020,357	3,801,101,206	-	-	3,625,498,716	4,411,123,881	1,503,366,830	825,313,575	4,593,475,605	3,451,461,008	1,071,219,728	42,526,402	13,143,581,235	12,531,526,072

In determining segment results,

Expenses have been allocated proportionately based on interest income

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Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2020.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st December , 2020 (including comparatives) were approved and authorized for issue on 15th February, 2021 in accordance with a resolution of the board of directors on 12th February, 2021.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 31st December, 2020 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	31.12.2020	31.03.2020
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	124,195,533

08. Market Value of Shares

	31.12.2020 Rs.	31.03.2020 Rs.
Highest Traded Price	9.70	8.80
Lowest Traded Price	7.50	5.50
Closing Price	9.10	5.50

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 31st December 2020

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92%
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,692,693	6.19%
3 HATTON NATIONAL BANK PLC/SRI DHAMAN RAJENDRAM ARUDPRAGASAM	3,095,431	2.49%
4 J.B. COCOSHELL (PVT) LTD	2,259,032	1.82%
5 MR P.A.D.R.U. PUSHPAKUMARA	1,715,000	1.38%
6 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21%
7 HATTON NATIONAL BANK PLC/SUBRAMANIAM VASUDEVAN	748,835	0.60%
8 MR K.M.S.M. RAZEEL & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60%
9 MR K.L.G. UDAYANANDA	738,291	0.59%
10 MR H.D. YAGGAHAVITA	655,957	0.53%
11 MERCHANT BANK OF SRI LANKA & FINANCE PLC/W.K.R. JAYAKODY	604,553	0.49%
12 SEYLAN BANK PLC/KARAGODA LOKU GAMAGE UDAYANANDA	522,696	0.42%
13 MR C.W. GUNASEKARA	500,000	0.40%
14 MRS M. ARUDPRAGASAM	303,562	0.24%
15 MR P.P. SUBASINGHE	302,623	0.24%
16 MERCHANT BANK OF SRI LANKA & FINANCE PLC 01	249,999	0.20%
17 MR R. UDALAGAMA	249,830	0.20%
18 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18%
19 DFCC BANK PLC/MR.C.R.PERERA	200,000	0.16%
20 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16%
	113,067,949	91.04%
Othres	11,127,584	8.96%
Total	124,195,533	100%

Notes	No of Shareholders	% of Shareholding
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11. Shares held by public as at 31st December 2020

2,174 27.036%

12. Directors Share Holding

Name	No. of Shares 31.12.2020	%
Mr V A Prasanth	-	-
Mr. R.J.A. Gunawardena	-	-
Mrs. D.P. Pieris	60,000	0.048
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

The fractional shares of 191 arising from the Consolidation of shares were issued jointly in the names of Mr. C Ramachandra and Mr. R J A Gunawardena

13. Utilization of right Issue Fund

Objecti ve No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total procee ds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	40,092,350.48	10.08.2019	40,092,350.48	10%	40,092,350.48	100%
		2018 November -19	Gampola	47,219,327.96	10.08.2019	47,219,327.96	12%	47,219,327.96	100%
		2019 January -16	Ragala	51,195,027.44	10.08.2019	51,195,027.44	13%	51,195,027.44	100%
		2018 November -24	Nawalapitiya	47,067,363.49	10.08.2019	47,067,363.49	12%	47,067,363.49	100%
		2018 December -21	Chunnakam	49,532,616.32	10.08.2019	49,532,616.32	12%	49,532,616.32	100%
		2019 February - 25	Puthukkudiyiruppu	34,700,967.45	10.08.2019	34,700,967.45	9%	34,700,967.45	100%
		2019 April -24	Kalmunai	37,463,912.37	10.08.2019	37,463,912.37	9%	37,463,912.37	100%
		2019 Decemebr -05	Mullativu	31,532,119.24	19.12.2019	31,532,119.24	8%	31,532,119.24	100%
		2020-December- 09	Matale	35,474,425.31	06.02.2020	35,474,425.31	9%	35,474,425.31	100%
		2020-January -03	Kegalle	28,265,003.94	03.07.2020	28,265,003.94	7%	28,265,003.94	100%
402,543,114.00					402,543,114.00	100%	402,543,114.00		

14. Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No 76, Park street colombo 02.

Telephone

011-7699000

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr. V.A Prasanth
Mr.Rajiv James Abeywicrema Gunawardena
Mrs.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Gunawardane & Ranasighe Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank
Nation Trust Bank

Audit Committee

Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr. V.A Prasanth
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara
Mrs.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mrs.Dayangani Priyanthi Pieris
Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr. E.A Prasanth
Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Kuttikattu Rajappan Bijimon